Contract Risk & Compliance Analysis Report

Contract Clause

If either Party breaches any material obligation under this Agreement, the non-defaulting Party shall be entitled to recover all losses and damages naturally arising from such breach in accordance with applicable law.

LegalBERT Risk Signal

Prediction: **Baseline**

Confidence: 99.76%

Class Scores

Baseline: 99.76%

Low: 0.01%

Medium: 0.20%

High: 0.03%

Retrieved Indian Law

Section 73

Compensation for loss or damage caused by breach of contract

Similarity Score: 0.6146

Section 43

Any one of joint promisors may be compelled to perform

Similarity Score: 0.5763

Section 132

Liability of two persons, primarily liable, not affected by arrangement between them that one shall be surety on other’s default

Similarity Score: 0.5242

Section 74

Compensation for breach of contract where penalty stipulated for

Similarity Score: 0.5157

Section 54

Effect of default as to that promise which should be first performed, in contract consisting of reciprocal promises

Similarity Score: 0.4978

Grounded Local LLM Analysis

Assessed Risk: **Medium**

Agreement with ML: NO

Evidence Sufficient: YES

Human Review Required: YES

Summary

The clause allows for recovery of losses and damages from a non-defaulting party due to breach, which is generally considered a medium-risk situation.

Risk Reasoning

The clause provides that the non-defaulting party can recover all losses and damages arising from a breach under applicable law. This provision could potentially lead to significant financial consequences if not properly structured or interpreted by courts.

Contractual Concern

Potential for significant financial recovery from non-defaulting party due to breach.

Suggested Mitigation

Ensure that the clause is clearly defined and interpreted by courts, possibly through additional legal advice or a formal review process.

Disclaimer

This report is generated automatically using a hybrid AI pipeline combining LegalBERT, Retrieval-Augmented Generation (RAG), and a local Large Language Model. It is intended for decision support only and does not constitute legal advice.